

Restructure the request. Verify the first exit.

PT Nusantara Earthworks - fictional Indonesian mining-services contractor. Independent interview case prepared for the Komatsu Astra Finance Credit Analyst role. No actual borrower, lender approval, affiliation or prior credit experience is claimed.

Recommendation

Defer approval of the requested Rp21bn. Evaluate a Rp16bn facility cap, 48-month monthly amortization and 13% annual nominal base rate, subject to diligence. Require Rp14bn fresh customer equity toward Rp30bn of assets, separately funded liquidity and a three-payment reserve. Base DSCR improves from 1.39x to 1.83x. Downside improves from 0.96x to 1.26x.

This is not an approval. After the modeled collection delay, the resized first-year downside DSCR is only 1.00x; severe steady-state coverage is 0.75x. Unverified contracts, equity, legal security or customer payment capacity require deferral or decline.

Term	Requested	Proposed for diligence
Asset package	5 units x Rp6bn	Rp30bn total
Facility / equity	Rp21bn / Rp9bn	Rp16bn / Rp14bn
Tenor / repayment	48 months / equal monthly	Same; no balloon
Monthly base payment	Rp0.56bn	Rp0.43bn
Three-payment base reserve	Rp1.69bn	Rp1.29bn

Risk view

Primary exit: contracted project collections. Secondary exit: recoverable equipment value. Project cash is assumed segregated and there is no existing project debt. Group-wide obligations, distributions and cross-default exposure are not known and must be underwritten before approval.

Cash flow and downside

Synthetic project assumptions

Five units; 250 available hours per unit per month; 75% utilization; Rp1.85m hourly tariff. Fuel Rp0.36m and other variable costs Rp0.26m per billed hour. Fixed costs Rp0.12bn/month; depreciation Rp0.25bn/month; maintenance capex reserve Rp0.075bn/month. All are assumptions, not dealer quotes or KAF terms.

Monthly cash bridge	Rp billion
Revenue	1.73
Fuel / other variable costs	0.58
Fixed costs	0.12
EBITDA	1.03
Cash-tax proxy	0.17
Maintenance capex reserve	0.075
CFADS	0.79
Requested debt service	0.56

Tax proxy: $\max(0, \text{EBITDA} - \text{depreciation}) \times 22\%$. Interest is not deducted in this conservative cash-tax proxy. This is not a legal tax calculation. Maintenance expense and capex must be validated to avoid omission or double counting.

Operating and liquidity tests

Facility / scenario	Monthly DSCR	Year 1 incl. DSO	DSO cash need
Rp21bn / base	1.39x	1.39x	Rp0.00bn
Rp21bn / downside	0.96x	0.76x	Rp1.43bn
Rp21bn / severe	0.57x	0.29x	Rp2.08bn
Rp16bn / base	1.83x	1.83x	Rp0.00bn
Rp16bn / downside	1.26x	1.00x	Rp1.43bn
Rp16bn / severe	0.75x	0.38x	Rp2.08bn

Downside: utilization 65%, tariff -5%, fuel +15%, interest 16%, DSO 75 days. Severe: utilization 50%, tariff -10%, fuel +25%, interest 18%, DSO 105 days. Interest shocks apply only to repricing/refinancing exposure; a fixed-rate contract would hold its agreed rate.

Structure the protections

Liquidity and debt sizing

At Rp16bn, downside CFADS supports a steady-state DSCR of 1.26x. The algebraic downside capacity at a 1.10x stress floor is Rp18.38bn. The proposed Rp16bn cap is a judgmental buffer below that ceiling, not an optimized or approved policy limit.

Require a separately funded Rp1.43bn collection buffer plus a three-payment reserve (Rp1.29bn at base rate; Rp1.36bn under repricing). Assumed unrestricted corporate cash is Rp6.50bn. After a downside reserve and collection shock, headroom is Rp3.71bn; corporate liquidity cannot be relied upon until availability is confirmed. Customer equity must come from additional verified funds, not the same cash counted for reserves.

Reverse stress

At base tariff, fuel and interest, the requested facility reaches the illustrative 1.25x covenant at 68.2% utilization. Confirm minimum contracted hours and uptime; an equipment appraisal cannot fix a weak first exit.

Collateral and expected loss

Rp16bn case	Base	Downside	Severe
Gross recovery (% of Rp30bn assets)	55%	45%	35%
Net proceeds after 10% cost	Rp14.85bn	Rp12.15bn	Rp9.45bn
Uncovered principal	Rp1.15bn	Rp3.85bn	Rp6.55bn
Judgmental one-year PD	3%	7%	15%
Illustrative expected loss	Rp0.03bn	Rp0.27bn	Rp0.98bn

Expected loss = assumed PD x LGD x origination EAD. This is a teaching example, not a calibrated score, IFRS 9 estimate or actual rating. Recovery excludes delay, tax and senior claims. Validate resale values independently, liens, title, insurance, serial numbers, asset location, maintenance and repossession/redeployment costs.

Security and account controls

Obtain legally enforceable equipment security; full insurance with lender interest; controlled collection account and assignment of proceeds where feasible. Indonesian counsel must determine enforceability, perfection and appropriate lease/security documentation. Align contract duration, payment terms and facility tenor.

Diligence, monitoring and evidence

Five conditions before a decision

1. Reconcile audited financials, tax filings, bank transactions and all group debt. Normalize one-offs, related-party balances and EBITDA-to-cash conversion.
2. Verify beneficial ownership, authorized SLIK/bureau results, payment history and adverse records.
3. Validate project contract, minimum volumes, payment protections, permits, mine-client creditworthiness and remaining work of at least the loan tenor.
4. Conduct a project visit: technical suitability, uptime, maintenance, fuel records, HSE, site access and redeployment.
5. Verify additional equity, unencumbered liquidity, insurance, security perfection and account controls. Track missing documents with Marketing; do not infer absence of risk from absence of data.

Monitoring plan - illustrative triggers

Trigger	Action
DSCR below 1.25x	Watchlist; review cash flow and cure plan
DSO above 60 days	Payer confirmation; weekly collections
Utilization below 70% for two months	Project visit; contract and hours review
Any payment missed	Immediate escalation and arrears handling
Permit lapse or contract termination	Freeze additional exposure; legal/recovery review

Public data and limitations

EIA Brent daily prices via github.com/datasets/oil-prices, annual arithmetic mean for 2015-2025. Brent is a fuel-risk proxy; not coal or Indonesian diesel. World Bank Indonesia GDP (NY.GDP.MKTP.CD) via github.com/datasets/gdp, nominal current USD, available through 2023 in this mirror. Neither series determines creditworthiness. Refresh industry evidence before any live credit decision.

Retrieved 30 September 2026; market cutoff 31 December 2025. Source mirrors: PDDL. Upstream: EIA public data; World Bank CC BY 4.0. Raw data, blob IDs and SHA-256 checksums are retained in `data/sources.json`. Reproduce via `npm run build`.

Source: <https://github.com/Nabilvisi/Credit-Analyst-Lab>

Missing: actual accounts, corporate debt service, cash-flow reconciliation, coal benchmarks, local diesel invoices, credit history, legal opinions and appraisal. Constant monthly operations omit seasonality, ramp-up, downtime timing, VAT, fees, exact lease accounting and recovery delay.